

China Daily Brief

Saturday, September 5, 2026

RE: Xi's Sept 24 DC visit prep · rare-earth shipments quietly held · PLA-PACOM theater commanders meet · Tibet flood censorship

THE BOTTOM LINE

Beijing is hedging into the Sept 24 Xi-Trump summit: Reuters sources report Chinese rare-earth suppliers quietly holding some US-bound shipments even as Xi assembles an unusually large CEO delegation and Trump confirms a state dinner. The same 48 hours produced the first in-person China-US theater-commander meeting in nearly two years (PLA Eastern Theater's Yang Zhibin with PACOM's Adm. Paparo in Victoria, Canada) and a TAO push on the Xiamen-Kinmen bridge. Watch: whether the rare-earth licensing backlog clears before Sept 24, and what Greer's promised agriculture/non-tariff-barrier announcements actually contain.

TODAY AT A GLANCE

- 1 Reuters reports some Chinese rare-earth suppliers are quietly withholding US-bound shipments over 'geopolitical worries,' with the licensing backlog now folded into pre-summit agenda prep for Xi's Sept 24 Washington trip.
- 2 PLA Eastern Theater Commander Yang Zhibin held his first bilateral meeting with INDOPACOM's Adm. Samuel Paparo in Victoria, Canada, the first in-person China-US theater-commander contact since a September 2024 video call ended a two-year freeze.
- 3 Trump confirmed a Sept 24 state dinner for Xi and Peng Liyuan while Reuters reports Xi is assembling an unusually large Chinese CEO delegation for the visit, a rarity given Beijing's cooler ties with its own private sector since 2020.

US-CHINA

Trump confirms state dinner for Xi's Sept 24 Washington visit as Xi lines up large CEO delegation

Trump told reporters he will host a state dinner for Xi and Peng Liyuan on Sept 24, calling Xi "a great gentleman" and playing down friction over Iran. Reuters separately reports Xi is assembling an unusually large Chinese corporate delegation for the trip, a rarity given Beijing's cooler relationship with private enterprise since regulatory crackdowns began in 2020.

So what: *The visit reciprocates Trump's May 14-15 Beijing summit and is expected to address agriculture purchases, Boeing orders and non-tariff barriers per USTR Greer.*

Pattern: *Xi last led a comparably large business delegation to Washington in 2015, when China signed a \$38 billion, 300-aircraft Boeing deal.*

BLOOMBERG; REUTERS (XI CEO DELEGATION)

US-CHINA

Chinese rare-earth suppliers quietly halt some US shipments ahead of Xi's Washington visit

Some Chinese rare-earth suppliers have stopped shipments to the US over concerns Beijing could impose punitive measures, three sources told Reuters. Hong Kong's HKEJ reports US officials have repeatedly pressed China to honor Busan and Beijing commitments on export licenses, and the unresolved licensing backlog has now been added to pre-summit agenda preparation.

So what: *Rare-earth access remains a live issue ahead of Xi's Sept 24 Washington visit and the approaching Nov 10 expiry of the one-year Busan-deal export-control suspensions.*

REUTERS; HKEJ

PLA

PLA Eastern Theater Commander Yang Zhibin meets PACOM's Adm. Paparo in Canada, first bilateral in two years

PLA Eastern Theater Commander Yang Zhibin, who oversees the Taiwan Strait, held his first bilateral meeting with INDOPACOM's Adm. Samuel Paparo at the 28th Indo-Pacific Chiefs of Defense Conference in Victoria, Canada (Aug 31-Sept 2). MND spokesperson Jiang Bin said the two discussed keeping senior military communication channels open to reduce misjudgment risk; Paparo separately met UK and Australian officials on AUKUS.

So what: *This is the first in-person China-US theater-commander meeting since Beijing froze military contacts after then-Speaker Pelosi's August 2022 Taiwan visit.*

Pattern: *PLA Southern Theater Commander Wu Yanan held a video call with Paparo on Sept 10, 2024, ending a two-year-plus freeze in theater-commander contact; today's meeting is the first in-person follow-on.*

LIANHE ZAOBAO; JAPAN TIMES

CROSS-STRAIT

China boycotts Gwangju Biennale over naming of Taiwanese exhibition

China is boycotting the major South Korean art festival over how a Taiwanese exhibition is named, treating the label as an implicit statement on Taiwan's status. The dispute adds to Beijing's pattern of pressuring cultural and academic institutions over Taiwan's international representation.

THE WASHINGTON POST

DIPLOMACY

Families of missing Tibet pilgrims demand answers as Beijing tightens information control

Families of pilgrims missing since the Aug 26 flash flood on the China-Nepal border are pressing Beijing for information, Reuters reports. The Washington Post separately reports China deployed image-recognition censorship and "saturated information" tactics to bury raw survivor footage while state media pushed a sanitized rescue narrative.

REUTERS; THE WASHINGTON POST

US-CHINA

DIPLOMACY · REUTERS CHINA

US, China gear up for mid-September AI safety talks

Washington and Beijing are preparing a bilateral AI safety dialogue for mid-September, per Reuters sources. The talks precede Xi's Sept 24 Washington visit, where export controls and AI remain among the unresolved items from the May Beijing summit.

DIPLOMACY · REUTERS CHINA

Greer says agriculture, non-tariff barrier announcements likely during Xi visit

USTR Jamieson Greer said announcements on agriculture and non-tariff barriers are likely during Xi's Sept 24 visit. MOFA has separately declined to confirm any joint US-China statement on the topic, per a Sept 4 briefing.

LEGAL · DW CHINESE

COSCO denies collecting intelligence for Beijing

China's shipping giant COSCO denied allegations, first reported by Reuters citing US officials, that it uses onboard equipment to intercept military communications for Beijing. COSCO said all onboard communication and navigation equipment serves only lawful commercial purposes; the allegation surfaced weeks before Xi's Sept 24 Washington visit.

DIPLOMACY · TAIPEI TIMES

Academic: US-China summit will be shaped by both leaders' domestic needs

National Chengchi University's Wang Hsin-hsien said the May Beijing summit produced "tactical" rather than "strategic" stability, and the Sept 24 Washington meeting will likely see Trump seek Boeing, soybean and beef purchase commitments ahead of midterms. He said Taiwan will likely draw less attention than at the first meeting since Washington controls more of this summit's agenda.

CROSS-STRAIT · TAIPEI TIMES

Taiwan gives 'temporary accommodation' to fled Chinese church lawyer

Taiwan's Mainland Affairs Council confirmed providing humanitarian accommodation to a Chinese national after rights group ChinaAid said Zion Church lawyer Ruth Wang fled to Taiwan citing government pressure over her representation of detained Beijing church leaders. Taiwan has no formal asylum law and handled the case on humanitarian grounds.

MIDDLE EAST · SCMP CHINA

China expands currency swap with Egypt during Xi's Cairo visit

Xi and Egyptian President Abdel-Fattah el-Sisi backed greater bilateral currency use in a joint statement issued during Xi's state visit, tying the swap expansion to new factory, energy and digital-infrastructure plans. Experts told SCMP any meaningful reduction in dollar reliance will not happen quickly.

AUSTRALIA-PACIFIC · WAPO CHINA

Pacific Islands Forum fails to unanimously condemn China's ballistic missile launch

Leaders at the Pacific Islands Forum summit could not reach unanimous condemnation of a Chinese ballistic missile launch, exposing divisions among Pacific states over how to address Beijing. Palau had pushed for a stronger statement.

ASEAN · SCMP

Singapore probes racist online comments tied to China-Nepal disaster

Senior Minister K Shanmugam said police are investigating "shameful" racist and xenophobic comments related to the China-Nepal border disaster and Singapore Airlines' Air India investment. Platforms have been asked to remove comments breaching guidelines.

EUROPE · GUANCHANG (ZH)

UK report claims Chinese-made farm tech could enable spying; embassy rejects claim

The Daily Telegraph reported a UK security-focused body's warning that Chinese chips in GPS tractors, drones and irrigation systems pose a hidden espionage risk to UK food security, urging ministers to reduce reliance on foreign-controlled connected agricultural tech. China's embassy in London called the allegations "fabricated and malicious slander" and said the Five Eyes alliance is the real espionage threat.

MACRO · BLOOMBERG CHINA

China's 26% earnings boom lands with a thud in the stock market

Chinese listed companies posted roughly 26% average earnings growth this reporting season, yet the SSE Composite still fell 1.41% on Sept 4, per Bloomberg.

TECH / BYTEDANCE · REUTERS CHINA

ByteDance secures \$29.6 billion loan for AI push

ByteDance has secured a \$29.6 billion loan to fund its AI buildout, sources told Reuters, one of the largest financing deals disclosed for a Chinese tech firm's AI expansion.

AUTO / VOLVO · WSJ CHINA

Volvo car sales slip on China, US weakness

Volvo Cars reported softer sales attributed to weakness in both the Chinese and US markets.

AUTO / VOLKSWAGEN · WAP0 CHINA

Competitive pressure in China pushes Volkswagen toward restructuring

Intensifying competition from Chinese automakers has convinced Volkswagen to pursue job and cost cuts in Germany, per WaPo reporting.

STAT OF THE DAY

26%

Average earnings growth at Chinese listed firms that failed to lift the market

Bloomberg reports Chinese companies posted roughly 26% average earnings growth this reporting season, yet the SSE Composite still fell 1.41% on Sept 4 — a divergence consistent with today's market data.

Source: Bloomberg, "China's 26% Earnings Boom Lands With a Thud in the Stock Market"

SSE COMPOSITE

3,930.12

▼ -1.41%
as of Sep 5

HANG SENG

25,650.87

▲ +0.26%
as of Sep 5

USD/CNY

6.7108

▼ -0.23%
as of Sep 5

USD/CNH

6.7070

▼ -0.14%

BRENT

\$96.28

▲ +6.40%

Not fetched today: 10Y CGB, China 5Y CDS, PBOC 1Y LPR, PBOC 5Y LPR, GDP · shown only when sourced, never carried forward

BEIJING

中国人民银行 · PEOPLE'S BANK OF CHINA

PBOC to roll over 500 billion yuan in 3-month outright reverse repos

The operation matches the prior month's size after August saw the PBOC's tools net-drain 408.6 billion yuan in liquidity; the rollover is described by analysts as ending two months of size increases.

→ [PBOC ZH](#) ↗

国务院 · STATE COUNCIL · *Li Qiang, Premier*

Li Qiang signs revised power safety accident regulation

The State Council order publishes a revised regulation governing emergency response and investigation of power safety accidents nationwide.

→ [State Council ZH](#) ↗

国务院 · STATE COUNCIL (7 DEPARTMENTS)

Seven ministries issue joint plan on digital-green industrial transition

The joint notice sets direction for aligning digitalization and decarbonization policy across sectors during 2026-2030.

→ [State Council ZH](#) ↗

国防部 · MINISTRY OF NATIONAL DEFENSE

China-Singapore 'Maritime Cooperation-2026' joint exercise opens

MND announced the opening of the bilateral naval exercise; no further detail on scale or duration was given in the notice.

→ [MND ZH](#) ↗

CSIS CHINA

The Decline of China and Taiwan Codels

Congressional travel to China has collapsed since the pandemic and travel to Taiwan is now falling sharply too, shrinking the cohort of members with firsthand China experience precisely when it matters most.

For policy: *Fewer firsthand-informed members complicates oversight of China legislation moving through the 119th Congress.*

FOREIGN AFFAIRS CHINA

How Taiwan Can Win the Strait

Taiwan can improve its odds in a cross-strait conflict through specific reforms to its defense posture and strategy.

For policy: *Directly relevant to ongoing debate over Taiwan's defense budget and reserve-force reforms.*

PROPAGANDA DELTA

Routine PBOC and MOFA/MND press activity masks a harder edge: quiet rare-earth shipment holds paired with unresolved US-China agriculture messaging ahead of Sept 24. Watch whether Beijing clears the rare-earth licensing backlog before the Washington visit.

XI TODAY

People's Daily's Sept 5 wrap-up detailed Xi's Aug 31-Sept 3 state visit to Egypt, including a joint statement deepening the China-Egypt comprehensive strategic partnership and new BRI, AI and trade agreements; separately Xi sent a congratulatory letter to the 8th China-Russia Energy Business Forum.

PEOPLE'S DAILY FRONT PAGE

携手推进中埃命运共同体建设 (Working Together to Advance a China-Egypt Community of Shared Future) — frames the Egypt state visit as building a 'community of shared destiny' on the 70th anniversary of ties, emphasizing strategic-partnership deepening.

PROPAGANDA FOCUS

China-Egypt 'community of shared destiny' diplomacy, Party discipline and anti-corruption responsibility system (全面从严治党), Flood-relief mobilization across Xizang, Fujian and Jiangxi

“China and Nepal are a community of shared destiny linked by mountains and rivers; China is also a disaster-affected party in this cross-border calamity.”

Guo Jiakun, MOFA spokesperson · 泥石流灾难后 尼泊尔争取气候正义 (DW Chinese)

137 articles collected (57 direct PRC primary, 82 indirect/citing); PBOC's Sept 7 reverse-repo operation alone generated roughly a dozen near-duplicate items. **WATCH**

外交部 · MOFA

ROUTINE · TO OTHER

52 Singaporeans arrested in Guangxi pyramid-scheme case

Guo Jiakun · MOFA spokesperson

“China handles cases of foreign nationals violating the law in accordance with law, and fully protects the legitimate rights of the parties involved. For further information, please inquire with the competent Chinese authorities.”

中方依法查处在华外国公民违法犯罪案件，并充分保障当事人合法权利，进一步的消息建议向中方主管部门询问。

Context: Singapore's foreign ministry and police confirmed 52 Singaporean citizens were arrested in Guangxi in what may be the largest overseas detention of Singaporean nationals to date.

DW Chinese

国防部 · MND

ROUTINE · TO US

Yang Zhibin-Paparo Canada meeting

Jiang Bin · MND spokesperson

“Per Lianhe Zaobao: Jiang Bin said Yang Zhibin led a delegation to the 28th Indo-Pacific Chiefs of Defense Conference in Victoria, Canada, presenting China's position on maintaining regional peace and stability and proposing enhanced defense exchange with regional states.”

Context: The conference produced the first China-US theater-commander bilateral meeting in nearly two years.

Lianhe Zaobao (ZH)

国台办 · TAO

FIRM · TO TAIWAN

Xiamen-Kinmen Bridge

Zhang Han · TAO spokesperson

“Building the Xiamen-Kinmen Bridge is the common appeal and urgent wish of people on both sides of the strait.”

建设厦金大桥是厦金两地民众的共同呼声和迫切心愿

Context: Xiamen announced new cross-strait measures including the Xiamen-side bridge segment targeting a 2026 year-end sea-route opening, while Taiwan's Mainland Affairs Council says it has no policy for a Kinmen link.

Guancha (ZH)

外交部 · MOFA

CONCILIATORY · TO OTHER

Nepal flood climate-compensation appeal

Guo Jiakun · MOFA spokesperson

“China and Nepal are a community of shared destiny linked by mountains and rivers, and China is also a disaster-affected party in this cross-border calamity. China is willing to strengthen cooperation with the international community, including Nepal, to jointly prevent and reduce the adverse effects of climate change.”

中尼是山水相连的命运共同体，中方也是此次跨境灾害的受灾方。中方愿同包括尼方在内的国际社会加强合作，共同预防和减少气候变化的不利影响。

Context: Nepal's foreign minister had said China, the US and India, as top emitters, bear historical responsibility, though he later clarified Nepal is not formally seeking climate compensation from any single state.

DW Chinese

外交部 · MOFA

ROUTINE · TO OTHER

China's defense posture framing

MOFA spokesperson

“Per Sina Finance: MOFA said China firmly pursues a defensive national defense policy and never engages in military expansion.”

Context: Statement issued during the same Sept 4 briefing cycle that addressed the Yang Zhibin-Paparo Canada meeting.

Sina Finance

WHAT OTHERS ARE SAYING

TAIPEI TIMES · SEPT 5, 2026

Wang Hsin-hsien · Director, Institute of International Relations, National Chengchi University

“It is like two boxers agreeing to take a break. The break does not end the fight; it is preparation for the next round.”

Note: Wang described the May Beijing summit as producing tactical rather than strategic stability between Trump and Xi.
source

SCMP · SEPT 5, 2026

K Shanmugam · Senior Minister, Singapore

“The media tells me that they had to remove several comments because they were so nasty.”

Note: Shanmugam addressed racist online commentary tied to the China-Nepal border disaster and Singapore Airlines' Air India investment.

source

W I R E

OVERNIGHT FLASH

DISASTER · WAPO CHINA

Mudslide kills 1, leaves 11 missing in Jiangxi after tropical storm Saudel

Heavy rain from tropical storm Saudel triggered a mudslide in Jiangxi province, killing one person with eleven still missing. It follows a separate, larger disaster in Xizang's Jilong county near the Nepal border.

DISASTER · REUTERS CHINA

Chinese national rescued from Nepal tunnel 10 days after flash flood

A Chinese national was pulled alive from a tunnel in Nepal ten days after the Aug 26 flash flood, following two Nepali nationals rescued a day earlier. China's embassy in Kathmandu separately confirmed a citizen rescued from a flood-hit hydropower station.

TECHNOLOGY · BLOOMBERG CHINA

Kai-Fu Lee says China will win the AI 'reach' race

AI investor Kai-Fu Lee argued in a Bloomberg interview that China holds an edge in AI deployment reach even if it trails in frontier model capability. He did not specify a timeline for the claim.

CROSS-STRAIT · TAIPEI TIMES

Anthology urges all-domain resilience strategy against China threat

A new anthology by Taiwan's Institute of National Defense and Security Research with Japanese and Philippine contributors argues Taiwan needs an all-domain strategic capability against China's multi-domain gray-zone activity. The book says traditional defense paradigms offer few answers to cognitive warfare and infiltration tactics.

WHAT WE ARE WATCHING

SEP
9

Mao Zedong death anniversary (50th)

Symbolically weighted anniversary ahead of the Fifth Plenum and 21st Party Congress preparations.

SEP
18

Mukden Incident, 95th anniversary

Recurring China-Japan flashpoint date; watch for Xinhua/CGTN commentary tone toward Tokyo.

SEP
22

UN General Assembly high-level week opens

New York session precedes Xi's Washington visit by two days.

SEP
24

Xi Jinping state visit to Washington, state dinner confirmed

Trump has confirmed the visit and a state dinner; Reuters reports Xi is assembling a large CEO delegation and USTR's Greer expects agriculture and non-tariff-barrier announcements.

NOV
10

Busan-deal one-year suspensions approach lapse

BIS Affiliates Rule suspension and China's Oct 2025 rare-earth export controls suspension both expire around this date absent extension, relevant given today's reported shipment holds.

CSIS KOREA CHAIR · CHINA DAILY BRIEF · GENERATED 9:49 AM ET

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